

Weekly Assignment – 4

IPO Analysis: Bajaj Housing Finance Limited

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Snapshot

Company	Bajaj Housing Finance Limited (NSE: BAJAJHFL | BSE: 544252), 100% subsidiary of Bajaj Finance Ltd at the time of the IPO
Issue size	₹6,560 crore (fresh issue ₹3,560 crore + offer for sale ₹3,000 crore)
Price band / issue price	₹66–₹70 per share (face value ₹10); issue price fixed at the upper end, ₹70
Lead managers	Kotak Mahindra Capital, BofA Securities India, Axis Capital, Goldman Sachs (India) Securities, SBI Capital Markets, JM Financial, IIFL Securities
Listing	16 September 2024 at ₹150 (+114.3% over issue price)
Verdict	Attractive at the issue price; not attractive at the listing price (see Task 6)

Task 1: The IPO Selected

The IPO chosen is **Bajaj Housing Finance Limited**, which opened for bidding on 9 September 2024 and closed on 11 September 2024. It was one of the largest IPOs of 2024 and the biggest housing finance IPO in India at that time. It makes a good case for study because it contains every element of a modern book-built issue: a fresh issue and an offer for sale, an anchor book, reserved quotas, a heavily oversubscribed book, and a listing at a large premium. Two years of trading data since listing also allow the issue to be judged on how the shares performed afterwards, not only on listing day.

Task 2: Company Profile and IPO Issue Size

Company profile

Bajaj Housing Finance is a non-deposit-taking housing finance company (HFC) headquartered in Pune. It was incorporated in 2008, registered with the National Housing Bank in September 2015 and began mortgage lending in FY2018. It is a wholly owned subsidiary of Bajaj Finance Ltd, part of the Bajaj Group. It lends for the purchase and renovation of homes and commercial property, offers loans against property, and provides lease rental discounting plus construction and inventory finance to developers.

According to its Red Herring Prospectus (RHP), BHFL was the **second-largest HFC in India**, with assets under management (AUM) of ₹91,370 crore at 31 March 2024, behind only LIC Housing Finance. Growth and asset quality at the time of the issue were as follows.

Metric	FY22	FY23	FY24
Assets under management (₹ crore)	—	69,228	91,370
Profit after tax (₹ crore)	710	1,258	1,731
Growth in profit after tax	—	+77%	+38%
Gross NPA	—	0.22%	0.27%
Net NPA	—	0.08%	0.10%

Source: Bajaj Finance investor presentation (Q4 FY24) and RHP. AUM growth in FY24 was 32%. Capital adequacy ratio was 21.28% at 31 March 2024.

Issue size and structure

Total issue size	₹6,560 crore (about 93.71 crore equity shares at ₹70)
Fresh issue	₹3,560 crore (about 50.86 crore shares): proceeds go to the company
Offer for sale (OFS)	₹3,000 crore (about 42.86 crore shares) sold by the parent, Bajaj Finance: proceeds go to the seller
Issue type	100% book-built issue
Bidding period	9–11 September 2024; anchor allocation on 6 September 2024 (₹1,758 crore raised from anchor investors)
Allocation	QIB 50%, retail 35%, non-institutional 15%; employee reservation ₹200 crore; Bajaj Finance/Bajaj Finserv shareholder reservation ₹500 crore
Minimum bid	214 shares (₹14,980 at the upper band)
Registrar	KFin Technologies Limited

About **54%** of the issue (₹3,560 crore) is new money for the company, while about **46%** (₹3,000 crore) is the parent partly selling its holding. Investors paid for both in the same book, at the same price.

Task 3: Why the Company Raised Funds

There were three connected reasons for the IPO.

- **Capital for growth (fresh issue).** The company stated that it would use the net proceeds of the fresh issue to augment its capital base to meet future capital requirements, mainly for **onward lending**. A housing lender needs equity to support loan growth: AUM grew 32% in FY24 and profits grew 38%. Capital adequacy was already high at 21.28% (against a regulatory minimum of 15% for HFCs), so the new equity was aimed at funding the next stage of growth rather than a capital shortfall.
- **Regulatory requirement.** The Reserve Bank of India's scale-based regulation requires upper-layer non-banking finance companies to be listed on stock exchanges by September 2025. The IPO therefore also met a compliance deadline and made the company directly subject to public-market disclosure.
- **Partial exit and a market price for the parent (OFS).** Bajaj Finance sold ₹3,000 crore of its shares. This brings in cash for the parent, sets a public market value for the subsidiary and gives the group a more liquid listed asset.

Listing also brings secondary benefits: a visible brand, easier access to future equity and debt capital, and share-based incentives for employees. The ₹200 crore employee quota reflects the last of these.

Task 4: Book-Running Lead Managers

The book-running lead managers (BRLMs) are the investment banks that manage the IPO: they carry out due diligence, prepare the prospectus, advise on pricing, market the issue to institutions, run the book-building process and coordinate allotment and listing. The RHP appointed **seven** BRLMs for this issue.

No.	Book-running lead manager	Type
1	Kotak Mahindra Capital Company Limited	Indian investment bank
2	BofA Securities India Limited	Foreign investment bank (India arm)
3	Axis Capital Limited	Indian investment bank
4	Goldman Sachs (India) Securities Private Limited	Foreign investment bank (India arm)
5	SBI Capital Markets Limited	Indian investment bank (public sector)
6	JM Financial Limited	Indian investment bank
7	IIFL Securities Limited	Indian broker and investment bank

The registrar to the issue was KFin Technologies. Some post-listing news reports name only six BRLMs (omitting IIFL Securities); the RHP and the pre-issue coverage list all seven, so seven is used here.

Task 5: Issue Price versus Listing Price

Price point	Price (₹)	Change vs issue	Date
IPO issue price (upper band)	70.00	—	11 Sep 2024
Listing (opening) price, NSE and BSE	150.00	+114.3%	16 Sep 2024
Listing-day close (10% upper circuit)	165.00	+135.7%	16 Sep 2024
Latest price	82.70	+18.1%	18 Sep 2026
52-week high / low	117.00 / 72.60	—	to Sep 2026



Figure 1: Bajaj Housing Finance share price journey, issue to latest

Listing-day outcome: The shares listed at ₹150, a premium of ₹80 or **114.3%** over the issue price, and closed the day at ₹165 in the upper circuit, **135.7%** above the issue price. A retail investor who received the minimum lot of 214 shares paid ₹14,980 and held shares worth ₹32,100 at the listing price (a gain of ₹17,120) or ₹35,310 at the close.

Why the premium was so large: Demand was exceptional: the issue was subscribed **63.61 times**, with QIBs at 209.36 times, non-institutional investors at 41.51 times and retail at 7.04 times. Bids were received for about 4,628 crore shares against 72.76 crore on offer. The grey market premium was already about ₹73 just before listing. A strong parent brand, the scarcity of listed prime housing-finance stocks and a buoyant primary market all added to demand.

What has happened since: The listing-day close valued the company at about ₹1.37 lakh crore, roughly **79 times** FY24 profit. Since then the shares have fallen to ₹82.70, which is **44.9% below the listing price** and 49.9% below the listing-day close, although still **18.1% above the issue price**. That is about 8.7% a year for an investor who held the shares from allotment (a total return of 18.1% over about two years, ignoring dividends). Most of the listing-day gain has been given back as the valuation has fallen to about 26 times trailing earnings.

Task 6: Does the IPO Appear Attractive?

Conclusion: yes, attractive at the issue price, but the listing premium made it much less attractive for anyone who bought afterwards.

Reasons the issue was attractive

- **Strong growth.** AUM rose 32% to ₹91,370 crore in FY24 and profit after tax rose 38% to ₹1,731 crore, after 77% growth in FY23.
- **Best-in-class asset quality.** The RHP-based IPO notes showed gross NPA of 0.3% and net NPA of 0.1%, against much weaker figures at listed peers.
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HFC (31 Mar 2024)	Gross NPA	Net NPA
Bajaj Housing Finance	**0.3%**	**0.1%**
Can Fin Homes	0.8%	0.4%
PNB Housing Finance	1.5%	1.0%
LIC Housing Finance	3.3%	1.6%

Source: IDBI Capital IPO note (4 September 2024).

- **Parent support and governance:** Being backed by Bajaj Finance gives access to the group's customer base, brand, funding costs and risk systems. Capital adequacy of 21.28% leaves ample room to grow.
- **Proven demand and pricing:** The 63.6x subscription, the anchor round of ₹1,758 crore and early 'Subscribe' calls from brokerages all pointed to strong institutional conviction.

Reasons for caution

- **Valuation.** At ₹70 the company was valued at about 33.7 times FY24 profit. This was a premium multiple for a lender whose net interest margin is about 3.5% because it focuses on low-risk, lower-yield prime loans.
- **Institution-led demand.** Retail was subscribed only 7.04 times against 209 times for QIBs, so the listing pop depended on large investors and market mood rather than broad public conviction.
- **Parent-seller conflict.** About 46% of the issue was an OFS by the parent. This is normal in group listings, but it means almost half the money raised did not go to the company.
- **Aftermarket de-rating.** The share price is now 45% below its listing price, which shows that the listing valuation of about 79 times earnings could not be sustained.
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Overall assessment. For an investor who received shares at ₹70 the IPO has been attractive: a 114% listing gain, and a price still about 18% above issue two years later. For an investor who bought on listing day at ₹150–165 it has not been, because the business has delivered growth (AUM reached ₹1.41 lakh crore in FY26 and profit after tax was ₹2,163 crore in FY25) while the share price has fallen as the valuation normalised. The main lesson for an investment banker is about pricing: an issue price of ₹70 against a listing price of ₹150 means the issuer and the selling parent left a large part of the value with first-day buyers, while the later fall shows how quickly that enthusiasm faded.